

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DOR

Date: 6/2/2026

Bill Number: SB 24

Short Title (as it appears on BASIS): TOBACCO/NICOTINE/E-CIG AGE; E-CIG TAX

What action do you recommend the Governor take?

Select one.

☐ SIGN ☐ VETO ☒ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

SB 24 advances the Administrations public-health goals by establishing a retail-level tax on electronic cigarettes at 25% and raising the approved age for smoking/vaping to 21. The bill also strengthens protections for minors by ensuring consistent statutory treatment of tobacco, nicotine, and vapor products. The 7/1/27 effective date ensures adequate time for the Department to implement the new tax, update systems, and prepare outreach. Allowing the bill to become law signals alignment with youth-prevention efforts, stabilizes the statutory landscape around emerging nicotine products, and provides a new, predictable revenue source with minimal administrative disruption.

Allowing the bill to become law without signature signals respect for the broad goals of the bill while reserving policy distance.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact

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on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

This bill would change the excise taxes on cigarettes by raising the minimum age for a person to buy or possess cigarettes, other tobacco products (OTP), and electronic smoking products from 19 to 21 and would make conforming changes. This would result in consistency with a past change in federal law raising the minimum tobacco age to 21 and would also result in consistency with the minimum age to purchase or consume marijuana and alcohol in Alaska.

This bill would also levy a new tax on electronic smoking products at the point of sale at a rate of 25 percent of the sale price. Electronic smoking products are a growing market that competes with cigarettes and other tobacco products (OTP) and they are not currently taxed in any way under Alaska law. The bill would require a retailer to become licensed with the Tax Division if they sell electronic smoking products in the State at a cost of \$50 per year. The license would require the retailer to file and remit taxes monthly to the Tax Division.

This bill is similar to SB 89 from the 32nd Legislature. This bill differs from that bill, which the Governor vetoed, in that this bill would tax the final, retail sale at a rate of 25 percent and the prior bill taxed the wholesale sale at 35 percent. This bill would help level the playing field between traditional tobacco products and newer nicotine products like electronic cigarettes.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1: Raises the legal age for purchasing, exchanging, or being given tobacco products from 19 to 21.

Section 2: Updates vending-machine access exceptions and required signage to reflect the age increase to 21.

Section 3: Prohibits possession of tobacco, nicotine products, or electronic smoking products by persons under 21; establishes a maximum \$100 fine and allows referral to a tobacco education program.

Section 4: Directs the Supreme Court to establish a bail schedule and allows 19–20-year-old employees of licensed retailers to handle restricted products as part of their job duties.

Section 5: Updates age-21 restrictions for certain retail sales and internet transactions.

Section 6: Raises the age for unlawful sale or distribution of electronic smoking or nicotine products to 21.

Section 7: Updates exceptions allowing under-21 possession of FDA-approved cessation or

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medical nicotine products.

Section 8: Revises vending machine placement and signage requirements for electronic smoking products to reflect the age 21 standard.

Section 9: Maintains a minimum \$300 fine for selling electronic smoking products to persons under 21.

Section 10: Adds a definition of “nicotine,” including synthetic forms.

Section 11: Creates a statutory definition for “retail cigar store.”

Section 12: Allows cigar smoking in qualifying retail cigar stores under specific building, ventilation, and access requirements.

Section 13: Updates a statutory cross-reference relating to community work provisions.

Section 14: Establishes the Tobacco Use Education and Cessation Fund as a separate treasury fund and dedicates 20% of annual tobacco settlement revenue to it.

Section 15: Expands license suspension and revocation authority to include electronic smoking products and updates related prohibitions.

Section 16: Revises shipping restrictions for cigarettes, including age-21 verification requirements.

Section 17: Updates carrier delivery verification requirements for cigarette shipments.

Section 18: Conforming changes to allow joint audits with municipalities for taxes on tobacco, synthetic nicotine, nicotine substitutes, and electronic smoking products.

Section 19: Conforming change to remove language regarding deposits under AS 37.05.580(a).

Section 20: Extends the tobacco products excise tax to synthetic nicotine products and nicotine substitutes.

Section 21: Requires distributors of synthetic nicotine and nicotine substitutes to be licensed.

Section 22: Creates shipping and transportation restrictions for tobacco products, synthetic

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nicotine, and nicotine substitutes; establishes criminal and civil penalties.

Section 23: Updates the definition of “distributor.”

Section 24: Updates the definition of “tobacco product” to include synthetic tobacco.

Section 25: Creates a new Article 8 governing electronic smoking products, including:

- A 25% retail-level tax on closed electronic smoking and vapor products
- A set of exemptions
- A new \$50 annual retail license (initial and renewal)
- Monthly returns and recordkeeping requirements
- Deposit of proceeds into the cessation fund
- Shipping restrictions and penalties
- Product standards (nicotine concentration limits, packaging, labeling)
- Definitions for electronic smoking products, vapor products, and sales price

Section 26: Updates warning-sign requirements for license endorsements to reflect age 21.

Section 27: Updates administrative suspension procedures for business license endorsements.

Section 28: Updates compliance program requirements for retailers selling age-restricted products.

Section 29: Updates the evidentiary presumption for under-21 sales violations.

Section 30: Adds marketing electronic smoking products to minors as an unfair or deceptive trade practice.

Section 31: Recodifies the unfair-trade-practice definition using a cross-reference to the definitions section created earlier.

Section 32: Assigns under-21 tobacco possession violations to district court, removing them from juvenile jurisdiction.

Section 33: Repeals AS 11.76.100(e).

Section 34: Specifies applicability for criminal and enforcement provisions.

Section 35: Establishes a delayed effective date of July 1, 2027, for certain tax and licensing

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sections.

Section 36: Sets the general effective date as July 1, 2026.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

Companion: HB 49, Rep Hannan

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support: Trevor J. Storrs, President & CEO, Alaska Children’s Trust (ACT); Alex McDonald, Fairbanks; Alyssa Bloom-Keill, Fairbanks; Betty K. Anderson, MD, Vice President, Alaska Society of Addiction Medicine; Carrie Nyssen, Senior Director of Advocacy, American Lung Association in Alaska; Beverly K Wooley, Big Lake; Chief William F. Smith, Chairman, Alaska Native Health Board; April L. Meyers, Board President & CEO, Smoke-Free Alternatives Trade Association (SFATA);

Amend: Scott Pearce, President, Cigar Association of America, Inc.;

Opposition: Andrew W; Dennis Hull, State Affairs Manager, Americans for Tax Reform; Shaun D’Sylva, Fatboy Vapors Alaska, LLC;

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

N/A

Commissioner’s Signature: Janelle L Eares Date: 6/3/2026

I have reviewed the above information and provided it to the Governor’s Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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